The same thing happened with sectors like tourism, foreign investment, and private businesses. By allowing these activities, regulating them, and taking some of the profits in the form of markups, fees and taxes, the government hoped to be able to sustain its strong social safety network.[1] But all of these initiatives brought with them materialism, consumption, and inequality.

Dollarization meant that Cubans abroad could now send money to their relatives on the island, and Cuba could join the ranks of poor countries that rely heavily on remittances. On a global scale, the $20 billion annually transferred from wealthy to poor countries via remittances (as of 2000) is larger than what's transferred in foreign aid or investment, and for many poor countries, remittances are their largest source of foreign currency.[2]

Legalizing the dollar in the summer of 1993 was only the first in a series of economic reforms or openings that brought capital – and capitalism – into the country. In many ways Cuba's economic reforms of the 1990s resembled the Structural Adjustment Programs or SAPs implemented by other Third World countries under World Bank and International Monetary Fund auspices as a condition for new loans. Government spending and services were cut, and some state industries were opened to the private sector. In some ways, the reforms were even harsher in Cuba, because they were carried out without the international loans to cushion their effects. Cuban sociologist Haroldo Dilla noted wryly that "Cubans are beginning to experience the displeasures and pleasures of now being actually, and not only symbolically, Latin Americans."[3]

State farms were converted into cooperatives (UBPCs) in September 1993. By the end of 1996, the percentage of farms under state control had dropped from 82 percent to 24.4 percent.[4] Economic decision making was decentralized. Farmers markets, where producers could sell directly to the public, were reinstituted in October 1994 (see Figure 7.2). (The first experiment with farmers markets was from 1980–85, but they were closed during the Rectification period.)

Figure 7.2 A farmers market in Havana, 2000